BTG Pactual Affiliate Research
Banco BTG Pactual S.A.

Gold Update (Mine & Grind)

Sector Note
25 August 2026

Central Banks to the Rescue!

What's new?

The World Gold Council released its latest central bank purchasing data, showing ~290t of net buying in 2Q26, well above the 57t recorded in 1Q26. More importantly, several central banks appear to have accelerated purchases following the recent correction in gold prices. China bought ~15t in June, its largest monthly purchase since October 2023, while Poland has remained one of the most active buyers, averaging ~15t/month since the Middle East conflict versus ~9t/month last year.

Our view?

Following the Middle East conflict and the subsequent correction in gold from ~US$5,500/oz to the US$4,000, we have seen a meaningful pickup in central bank demand. We continue to view this as a structural trend, which gained significant momentum after the G7 froze ~US$300bn of Russian foreign reserves in 2022, reinforcing the incentive for central banks to diversify reserves away from traditional dollar-denominated assets. Since then, central bank gold demand has increased sharply, at times accounting for as much as ~37% of total gold demand and becoming an increasingly important support for prices.

China has been a consistent gold buyer since 2022, although purchases had slowed last year when prices were higher, and has now accelerated following the correction, with June-26 marking its strongest monthly purchase since October 2023. China's recent gold purchases are quite impressive, rising from just ~1t in January to ~15t in June, the strongest monthly addition since October 2023, as buying accelerated into the recent price correction.

Poland, already one of the largest contributors to central bank demand, has followed a similar pattern, adding an impressive 82t in 1H26, including 51t in 2Q alone, making it the world's largest reported central bank buyer this year.

The broader message, in our view, is that when investor (ETF) demand fades and gold prices correct, structural central bank demand tends to step in more aggressively, providing an important underlying support for prices. Looking ahead, we see little reason for this trend to reverse. Many central banks still have significant room to diversify their reserves and increase gold allocations, particularly relative to developed-market peers. This should continue to provide a structural demand floor even as investment flows remain more sensitive to interest rates, liquidity and the broader macro backdrop.

We continue to appreciate the LT gold story, supported by the debasement/de-dollarization theme and structural central bank demand. Within our coverage, we reiterate our Buy ratings on Aura Minerals and Aris Mining. Aura combines solid execution with a credible pathway toward ~600koz of annual production on the LT, while trading at ~0.8x P/NAV. Aris offers an even more compelling growth profile, targeting ~500koz by 2028 and potentially ~1Moz over the LT, while trading at only

Analysts

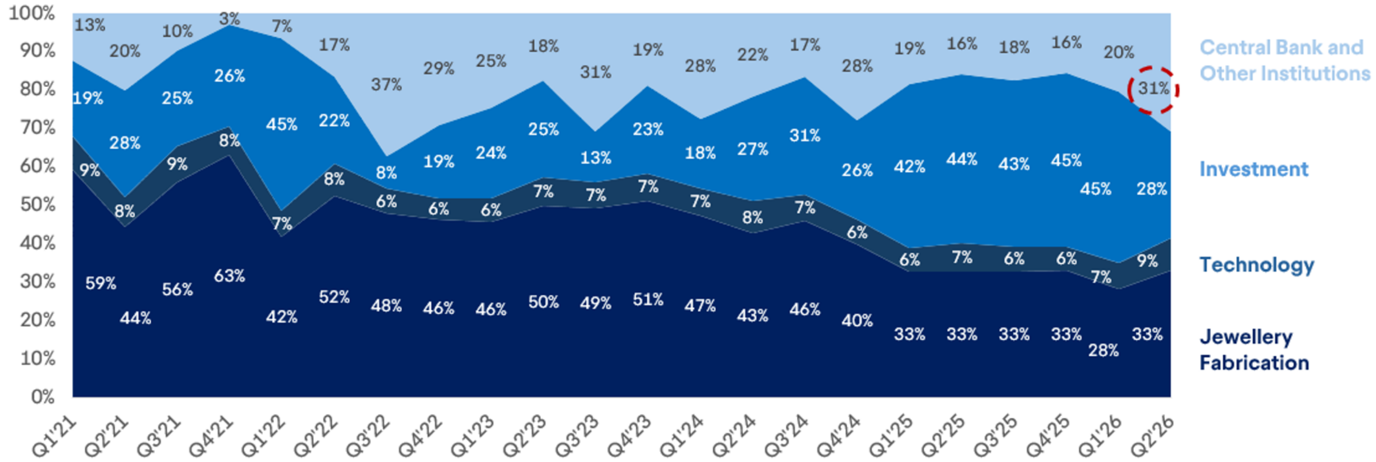
Leonardo Correa
Brazil – Banco BTG Pactual S.A.
leonardo.correa@btgpactual.com
+55 11 3383 2166

Marcelo Arazi
Brazil – Banco BTG Pactual S.A.
marcelo.arazi@btgpactual.com
+55 11 3383 5178

Rodrigo Gotardo
Brazil – Banco BTG Pactual S.A.
rodrigo.gotardo@btgpactual.com
+55 11 3383 3118

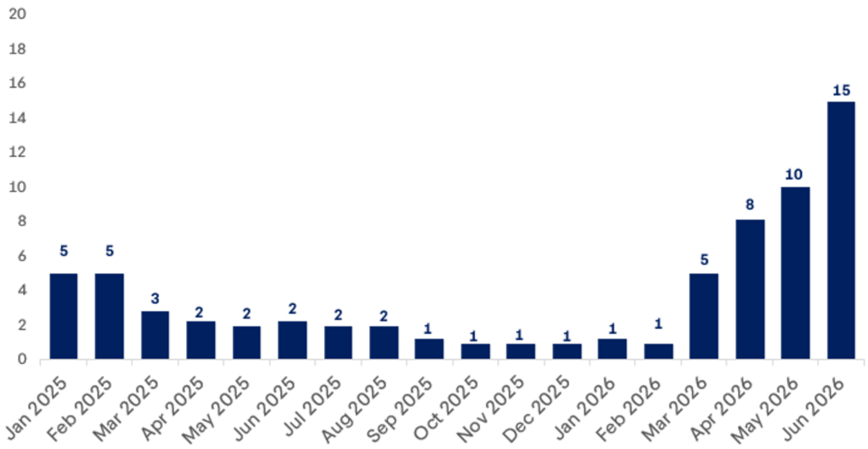
~0.55x P/NAV, sub-3x EV/EBITDA next year and offering a ~13% 2027 FCF yield. We remain Buyers of both names.

Chart 1: Gold Demand Mix: Central Banks Gain Share in 2026



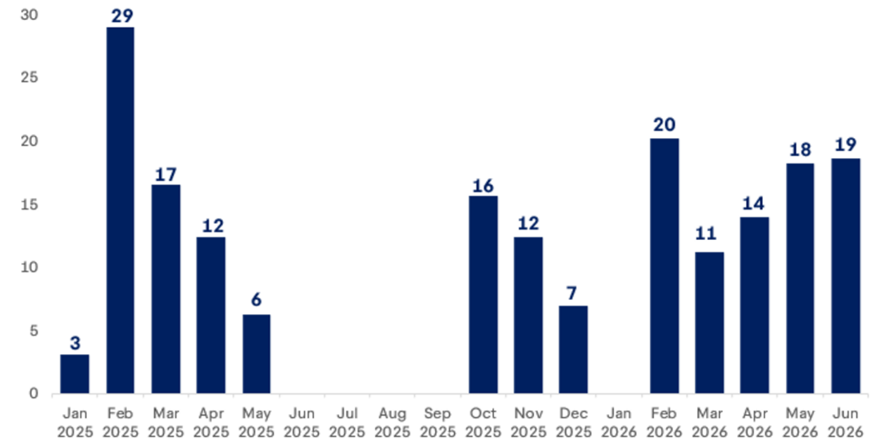
Source: World Gold Council, BTG Pactual.

Chart 2: China's Central Bank Gold Purchases Accelerate in 2026 (in tonnes)



Source: World Gold Council, BTG Pactual.

Chart 3: Poland's Central Bank Remains a Strong Gold Buyer in 2026 (in tonnes)



Source: World Gold Council, BTG Pactual.

Disclosures

Required Disclosure

This report has been prepared by Banco BTG Pactual S.A.
The figures contained in performance charts refer to the past; past performance is not a reliable indicator of future results.

Analyst Certificate

Each research analyst primarily responsible for the content of this investment research report, in whole or in part, certifies that:
(i) all of the views expressed accurately reflect his or her personal views about those securities or issuers, and such recommendations were elaborated independently, including in relation to Banco BTG Pactual S.A. and/or its affiliates, as the case may be;

(ii) no part of his or her compensation was, is, or will be, directly or indirectly, related to any specific recommendations or views contained herein or linked to the price of any of the securities discussed herein.

Research analysts contributing to this report who are employed by a non-US Broker dealer are not registered/qualified as research analysts with FINRA and therefore are not subject to the restrictions contained in the FINRA rules on communications with a subject company, public appearances, and trading securities held by a research analyst account.

Part of the analyst compensation comes from the profits of Banco BTG Pactual S.A. as a whole and/or its affiliates and, consequently, revenues arisen from transactions held by Banco BTG Pactual S.A. and/or its affiliates.

Where applicable, the analyst responsible for this report and certified pursuant to Brazilian regulations will be identified in bold on the first page of this report and will be the first name on the signature list.

Company Disclosures

7. Within the past 12 months, neither Banco BTG Pactual S.A., nor its affiliates or subsidiaries, has received compensation for investment banking services from this company/entity.

8. Neither Banco BTG Pactual S.A, nor its affiliates or subsidiaries, expect to receive or intend to seek compensation for investment banking services and/or products and services other than investment services from this company/entity within the next three months.

9. This company/entity is not, or within the past 12 months has not been, a client of Banco BTG Pactual S.A., and investment banking services are not being, or have been, provided.

10. Banco BTG Pactual S.A. has not acted as manager/co-manager in the underwriting or placement of securities of this company/entity, its affiliates nor subsidiaries within the past 12 months.

11. Banco BTG Pactual S.A. is not acting as manager/co-manager, underwriter, placement or sales agent in regard to an offering of securities of this company/entity, one of its affiliates nor subsidiaries.

12. Directors or employees of Banco BTG Pactual S.A., its affiliates or subsidiaries are not directors of this company.

13. Directors or employees of Banco BTG Pactual S.A., its affiliates or subsidiaries do not take part on the board of directors of this company.

14. As of the end of the month immediately preceding the date of publication of this report, neither Banco BTG Pactual S.A. nor its affiliates or subsidiaries beneficially own 1% or more of any class of common equity securities.

15. Neither Banco BTG Pactual S.A., nor its affiliates or subsidiaries, including the funds, portfolios and investment clubs in securities managed by them, beneficially own directly or indirectly 5% or more of a class of the subject company common equity.

16. Investment strategists have not contributed in the preparation of this company's section. Investment strategists should not be considered as research analysts and are not registered or qualified as such in their local market.

17. Banco BTG Pactual S.A., its affiliates or subsidiaries are market makers in the securities of this company.

Aura Minerals	AUGO.US	Buy	US$87.37	2026-08-25
Aris Mining	ARIS.P	Buy	US$14.66	2026-08-25

Global Disclaimer

18.This report has been prepared by Banco BTG Pactual S.A. ("BTG Pactual S.A."), a Brazilian regulated bank. BTG Pactual S.A. is the responsible for the distribution of this report in Brazil. BTG Pactual US Capital LLC ("BTG Pactual US"), a broker-dealer registered with the U.S. Securities and Exchange Commission and a member of the Financial Industry Regulatory Authority and the Securities Investor Protection Corporation is distributing this report in the United States. BTG Pactual US is an affiliate of BTG Pactual S.A. BTG Pactual US assumes responsibility for this research for purposes of U.S. law. Any U.S. person receiving this report and wishing to effect any transaction in a security discussed in this report should do so with BTG Pactual US at 212-293-4600, 601 Lexington Ave. 57th Floor, New York, NY 10022.
This report is being distributed in the United Kingdom by BTG Pactual (UK) Limited ("BTG Pactual UK"), which is authorized and regulated by the Financial Conduct Authority of the United Kingdom. BTG Pactual UK has not: (i) produced this report, (ii) substantially altered its contents, (iii) changed the direction of the recommendation, or (iv) disseminated this report prior to its issue by BTG Pactual S.A/BTG Pactual US. BTG Pactual UK does not distribute summaries of research produced by BTG Pactual S.A..
This report is being distributed in the EEA by BTG Pactual Portugal – Empresa de Investimentos S.A. ("BTG Pactual PT"), which is authorized and regulated by the Comissão do Mercado de Valores Mobiliários (CMVM) of Portugal. BTG Pactual PT has not: (i) produced this report, (ii) substantially altered its contents, (iii) changed the direction of the recommendation, or (iv) disseminated this report prior to its issue by BTG Pactual S.A/BTG Pactual US. BTG Pactual PT does not distribute summaries of research produced by BTG Pactual S.A..
BTG Pactual Chile S.A. Corredores de Bolsa ("BTG Pactual Chile"), formerly known as Celfin Capital S.A. Corredores de Bolsa, is a Chilean broker dealer registered with Comisión para el Mercado Financiero (CMF) in Chile and responsible for the distribution of this report in Chile and BTG Pactual Perú S.A. Sociedad Agente de Bolsa ("BTG Pactual Peru"), formerly known as Celfin Capital S.A. Sociedad Agente e Bolsa, registered with Superintendencia de Mercado de Valores (SMV) de Peru is responsible for the distribution of this report in Peru. BTG Pactual Chile and BTG Pactual Peru acquisition by BTG Pactual S.A. was approved by the Brazilian Central Bank on November 14th, 2012.
BTG Pactual S.A. Comisionista de Bolsa ("BTG Pactual Colombia") formerly known as Bolsa y Renta S.A. Comisionista de Bolsa, is a Colombian broker dealer register with the Superintendencia Financeira de Colombia and is responsible for the distribution of this report in Colombia. BTG Pactual Colombia acquisition by BTG Pactual S.A. was approved by Brazilian Central Bank on December 21st, 2012.
BTG Pactual Argentina is a broker dealer (Agente de Liquidación y Compensación y Agente de Negociación Integral) organized and regulated by Argentinean law, registered with the Exchange Commission of Argentina (Comisión Nacional de Valores) under license Nro. 720 and responsible for the distribution of this report in Argentina. Additionally, the Brazilian Central Bank approved the indirect controlling participation of Banco BTG Pactual S.A. in BTG Pactual Argentina on September 1st, 2017.
References herein to BTG Pactual include BTG Pactual S.A., BTG Pactual US Capital LLC, BTG Pactual UK, BTG Pactual Chile and BTG Pactual Peru and BTG Pactual Colombia and BTG Pactual Argentina as applicable. This report is for distribution only under such circumstances as may be permitted by applicable law. This report is not directed at you if BTG Pactual is prohibited or restricted by any legislation or regulation in any jurisdiction from making it available to you. You should satisfy yourself before reading it that BTG Pactual is permitted to provide research material concerning investments to you under relevant legislation and regulations. Nothing in this report constitutes a representation that any investment strategy or recommendation contained herein is suitable or appropriate to a recipient's individual circumstances or otherwise constitutes a personal recommendation. It is published solely for information purposes, it does not constitute an advertisement and is not to be construed as a solicitation, offer, invitation or inducement to buy or sell any securities or related financial instruments in any jurisdiction. Prices in this report are believed to be reliable as of the date on which this report was issued and are derived from one or more of the following: (i) sources as expressly specified alongside the relevant data; (ii) the quoted price on the main regulated market for the security in question; (iii) other public sources believed to be reliable; or (iv) BTG Pactual's proprietary data or data available to BTG Pactual. All other information herein is believed to be reliable as of the date on which this report was issued and has been obtained from public sources believed to be reliable. No representation or warranty, either express or implied, is provided in relation to the accuracy, completeness or reliability of the information contained herein, except with respect to information concerning Banco

BTG Pactual S.A., its subsidiaries and affiliates, nor is it intended to be a complete statement or summary of the securities, markets or developments referred to in the report. In all cases, investors should conduct their own investigation and analysis of such information before taking or omitting to take any action in relation to securities or markets that are analyzed in this report. BTG Pactual does not undertake that investors will obtain profits, nor will it share with investors any investment profits nor accept any liability for any investment losses. Investments involve risks and investors should exercise prudence in making their investment decisions. BTG Pactual accepts no fiduciary duties to recipients of this report and in communicating this report is not acting in a fiduciary capacity. The report should not be regarded by recipients as a substitute for the exercise of their own judgment. Opinions, estimates, and projections expressed herein constitute the current judgment of the analyst responsible for the substance of this report as of the date on which the report was issued and are therefore subject to change without notice and may differ or be contrary to opinions expressed by other business areas or groups of BTG Pactual as a result of using different assumptions and criteria. Because the personal views of analysts may differ from one another, Banco BTG Pactual S.A., its subsidiaries and affiliates may have issued or may issue reports that are inconsistent with, and/or reach different conclusions from, the information presented herein. Any such opinions, estimates, and projections must not be construed as a representation that the matters referred to therein will occur. Prices and availability of financial instruments are indicative only and subject to change without notice. Research will initiate, update and cease coverage solely at the discretion of BTG Pactual Investment Bank Research Management. The analysis contained herein is based on numerous assumptions. Different assumptions could result in materially different results. The analyst(s) responsible for the preparation of this report may interact with trading desk personnel, sales personnel and other constituencies for the purpose of gathering, synthesizing and interpreting market information. BTG Pactual is under no obligation to update or keep current the information contained herein, except when terminating coverage of the companies discussed in the report. BTG Pactual relies on information barriers to control the flow of information contained in one or more areas within BTG Pactual, into other areas, units, groups or affiliates of BTG Pactual. The compensation of the analyst who prepared this report is determined by research management and senior management (not including investment banking). Analyst compensation is not based on investment banking revenues, however, compensation may relate to the revenues of BTG Pactual Investment Bank as a whole, of which investment banking, sales and trading are a part. The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors. Options, derivative products and futures are not suitable for all investors, and trading in these instruments is considered risky. Mortgage and asset-backed securities may involve a high degree of risk and may be highly volatile in response to fluctuations in interest rates and other market conditions. Past performance is not necessarily indicative of future results. If a financial instrument is denominated in a currency other than an investor's currency, a change in rates of exchange may adversely affect the value or price of or the income derived from any security or related instrument mentioned in this report, and the reader of this report assumes any currency risk. This report does not take into account the investment objectives, financial situation or particular needs of any particular investor. Investors should obtain independent financial advice based on their own particular circumstances before making an investment decision on the basis of the information contained herein. For investment advice, trade execution or other enquiries, clients should contact their local sales representative. Neither BTG Pactual nor any of its affiliates, nor any of their respective directors, employees or agents, accepts any liability for any loss or damage arising out of the use of all or any part of this report. Notwithstanding any other statement in this report, BTG Pactual UK does not seek to exclude or restrict any duty or liability that it may have to a client under the "regulatory system" in the UK (as such term is defined in the rules of the Financial Conduct Authority). Any prices stated in this report are for information purposes only and do not represent valuations for individual securities or other instruments. There is no representation that any transaction can or could have been effected at those prices and any prices do not necessarily reflect BTG Pactual internal books and records or theoretical model-based valuations and may be based on certain assumptions. Different assumptions, by BTG Pactual S.A., BTG Pactual US, BTG Pactual UK, BTG Pactual Chile and BTG Pactual Peru and BTG Pactual Colombia and BTG Pactual Argentina or any other source, may yield substantially different results. This report may not be reproduced or redistributed to any other person, in whole or in part, for any purpose, without the prior written consent of BTG Pactual and BTG Pactual accepts no liability whatsoever for the actions of third parties in this respect. Additional information relating to the financial instruments discussed in this report is available upon request. BTG Pactual and its affiliates have in place arrangements to manage conflicts of interest that may arise between them and their respective clients and among their different clients. BTG Pactual and its affiliates are involved in a full range of financial and related services including banking, investment banking and the provision of investment services. As such, any of BTG Pactual or its affiliates may have a material interest or a conflict of interest in any services provided to clients by BTG Pactual or such affiliate. Business areas within BTG Pactual and among its affiliates operate independently of each other and restrict access by the particular individual(s) responsible for handling client affairs to certain areas of information where this is necessary in order to manage conflicts of interest or material interests. Any of BTG Pactual and its affiliates may: (a) have disclosed this report to companies that are analyzed herein and subsequently amended this report prior to publication; (b) give investment advice or provide other services to another person about or concerning any securities that are discussed in this report, which advice may not necessarily be consistent with or similar to the information in this report; (c) trade (or have traded) for its own account (or for or on behalf of clients), have either a long or short position in the securities that are discussed in this report (and may buy or sell such securities), with the securities that are discussed in this report; and/or (d) buy and sell units in a collective investment scheme where it is the trustee or operator (or an adviser) to the scheme, which units may reference securities that are discussed in this report.
United Kingdom: Where this report is disseminated in the United by BTG Pactual UK, this report is is directed by BTG Pactual UK at, those who are the intended recipients of this report. This report has been classified as investment research and should not be considered a form of advertisement or financial promotion under the provisions of FSMA 2000 (Sect. 21(8)).This communication may constitute an investment recommendation under the Market Abuse Regulation 2016 ("MAR") and, as required by MAR, the investment recommendations of BTG Pactual personnel over the past 12 months can be found by clicking on https://www.btgpactual.com/research/. Please also consult our website for all relevant disclosures of conflicts of interests relating to instruments covered by this report. While all reasonable effort has been made to ensure that the information contained is not untrue or misleading at the time of publication, no representation is made as to its accuracy or completeness, and it should not be relied upon as such. Past performances offer no guarantee as to future performances. All opinions expressed in the present document reflect the current context and which is subject to change without notice.

EEA: Where this report is disseminated in the selected countries in the EEA by BTG Pactual PT, this report is issued by BTG Pactual PT only to, and is directed by BTG Pactual PT at, those who are the intended recipients of this report. This report has been classified as investment research and should not be considered a form of advertisement or marketing material under the provisions of Mifid II.This communication may constitute an investment recommendation under the Market Abuse Regulation 2016 ("MAR") and, as required by MAR, the investment recommendations of BTG Pactual personnel over the past 12 months can be found by clicking on https://www.btgpactual.com/research/. Please also consult our website for all relevant disclosures of conflicts of interests relating to instruments covered by this report. While all reasonable effort has been made to ensure that the information contained is not untrue or misleading at the time of publication, no representation is made as to its accuracy or completeness, and it should not be relied upon as such. Past performances offer no guarantee as to future performances. All opinions expressed in the present document reflect the current context and which is subject to change without notice.
Dubai: This research report does not constitute or form part of any offer to issue or sell, or any solicitation of any offer to subscribe for or purchase, any securities or investment products in the UAE (including the Dubai International Financial Centre) and accordingly should not be construed as such. Furthermore, this information is being made available on the basis that the recipient acknowledges and understands that the entities and securities to which it may relate have not been approved, licensed by or registered with the UAE Central Bank, Emirates Securities and Commodities Authority or the Dubai Financial Services Authority or any other relevant licensing authority or governmental agency in the UAE. The content of this report has not been approved by or filed with the UAE Central Bank or Dubai Financial Services Authority.
United Arab Emirates Residents: This research report, and the information contained herein, does not constitute, and is not intended to constitute, a public offer of securities in the United Arab Emirates and accordingly should not be construed as such. The securities are only being offered to a limited number of sophisticated investors in the UAE who (a) are willing and able to conduct an independent investigation of the risks involved in an investment in such securities, and (b) upon their specific request. The securities have not been approved by or licensed or registered with the UAE Central Bank or any other relevant licensing authorities or governmental agencies in the UAE. This research report is for the use of the named addressee only and should not be given or shown to any other person (other than employees, agents or consultants in connection with the addressee's consideration thereof). No transaction will be concluded in the UAE and any enquiries regarding the securities should be made with BTG Pactual CTVM S.A. at +55 11 3383-2638, Avenida Brigadeiro Faria Lima, 3477, 14th floor, São Paulo, SP, Brazil, 04538-133.

Statement of Risk

Aura Minerals. [BRAURA] - Note that any investment in gold shares is subject to exchange rate risk, operational unexpected trammels, as well as to fluctuations of the economy. Investment in gold stocks is also subject to price fluctuations. Given the cyclicality of commodities prices, investors should be aware that the gold stocks are inherently volatile and extremely dependent both on global underlying demand and supplier behavior. The financial conditions and results of operations in such industries are generally affected by economic conditions and other factors that are difficult to foresee.

Aris Mining. [ARISUS] - Note that any investment in gold mining shares is subject to operational risks inherent to underground mining, including execution risk on ongoing expansion projects, as well as to fluctuations of the broader economy and commodity markets. Investment in gold stocks is subject to gold price volatility, driven by macroeconomic factors such as U.S. interest rates, inflation expectations, central bank reserve policies, and USD movements. As Aris Mining operates primarily in Colombia and Guyana, investors are exposed to country-specific risks, including regulatory changes, permitting uncertainties, social license risks, and geopolitical developments. The company's cost structure is also partially exposed to COP/USD exchange rate dynamics and to gold price-linked variability in Contract Mining Partner (CMP) feed costs, which represent approximately 36% of mill feed at Segovia. The financial conditions and results of operations in such industries are generally affected by economic conditions and other factors that are difficult to foresee.

Valuation Methodology

Aura Minerals. [BRAURA] - Our year-end 2026 price target for Aura Minerals is derived from a net asset value (NAV) framework employing discounted cash flows that incorporate 100% of the reserves and resources reported by the company. This valuation utilizes a discounted cash flow to firm (DCFF) model based on nominal US$ cash flow projections. The nominal weighted average cost of capital applied is 8.7%, incorporating the following components: (1) a cost of equity of 9.3%; (2) a target capital structure with debt representing 20% of total capital (D/(D+E)); (3) an effective tax rate of 25%; and (4) a cost of debt at 8%.

Aris Mining. [ARISUS] - We employ a mid-cycle discounted cash flow to firm valuation model (DCFF) based on nominal US$ cash flows. Our nominal (US$ based) weighted average cost of capital (WACC) assumption is based on: (1) cost of equity of 11.5%; (2) target capital structure (D/(D+E)) of 25%; (3) effective tax rate of 35%; and (4) cost of debt of 7%.